

MERIDIAN WEALTH PARTNERS

Risk Management Guidelines

MWP-RISK-001

SEBI-Registered Investment Advisory Firm

Registration Number: INA000000123

Effective Date: January 1, 2026

Version: 2.1

Last Revised: December 15, 2025

This document contains confidential information proprietary to Meridian Wealth Partners. Unauthorized reproduction or distribution is strictly prohibited.

TABLE OF CONTENTS

1. Document Control	3
2. Purpose, Scope & Applicability	4
3. Regulatory & Compliance Framework	5
4. Definitions & Key Risk Terminology	6
5. Risk Governance Structure	9
6. Market Risk Management	10
7. Credit & Counterparty Risk	12
8. Liquidity Risk Management	13
9. Concentration Risk Framework	14
10. Operational Risk Management	15
11. Portfolio Risk Limits & Thresholds	16
12. Stop-Loss Policy & Circuit Breakers	17
13. Stress Testing & Scenario Analysis	18
14. Risk Reporting & Dashboards	19
15. Incident Management & Escalation	20
16. Annual Risk Review & Policy Updates	21
17. Approval & Signatures	22

1.1 Document Information

Document Title	Risk Management Guidelines
Document ID	MWP-RISK-001
Document Version	2.1
Classification	CONFIDENTIAL — Internal Use Only
Owner	Chief Risk Officer
Approval Authority	Board of Directors / Investment Committee
Effective Date	January 1, 2026
Last Revision Date	December 15, 2025
Next Scheduled Review	December 31, 2026

1.2 Distribution List

Recipient	Title	Distribution Method
Board of Directors	Full Access	Hard Copy & Digital
Chief Risk Officer	Full Access	Digital + Hard Copy
Investment Committee	Full Access	Digital
Chief Investment Officer	Full Access	Digital
Chief Compliance Officer	Full Access	Digital
Portfolio Managers	Restricted Access	Digital (Sections 5-12)
Operations Team	Restricted Access	Digital (Sections 8, 10)
Internal Audit	Full Access	Digital

1.3 Revision History

Version	Date	Author	Changes
1.0	Jan 15, 2024	CRO	Initial document creation and SEBI registration
1.5	Jun 20, 2024	CRO & CIO	Addition of CVaR methodology, quarterly stress testing
2.0	Oct 01, 2025	CRO	Implementation of three-lines-of-defense model, updated conce
2.1	Dec 15, 2025	CRO	Incorporation of 2022 rate hike scenarios, circuit breaker refin

2. PURPOSE, SCOPE & APPLICABILITY

Meridian Wealth Partners ("MWP" or the "Firm") has developed this comprehensive Risk Management Guidelines document to establish a systematic framework for identifying, measuring, monitoring, and controlling the various forms of risk that may threaten the value of client portfolios and the operational integrity of the organization. The fundamental purpose of this policy is to ensure that all investment advisory activities, portfolio construction methodologies, and operational processes are conducted within a well-defined risk management architecture that is transparent, measurable, and responsive to changing market conditions. This document serves as the authoritative reference for all employees, board members, and third-party service providers engaged in the management of client assets, and it embodies the commitment of Meridian Wealth Partners to place client interests at the forefront of all risk management decisions in accordance with Securities and Exchange Board of India (SEBI) regulations and best practices observed internationally in the wealth management industry.

The scope of this Risk Management Guidelines document encompasses all investment strategies, product offerings, and operational functions executed by Meridian Wealth Partners on behalf of its clients. This includes, without limitation, discretionary portfolio management services under the Meridian Wealth Discretionary Portfolio Management Agreement, advisory services rendered under the Non-Discretionary Investment Advisory Agreement, robo-advisory services delivered through the Meridian Digital Wealth Platform, and all ancillary services such as financial planning, tax optimization, and estate planning consultation. The guidelines apply to all equity and debt securities held in client portfolios, including direct holdings in individual equities listed on the National Stock Exchange (NSE) and Bombay Stock Exchange (BSE), mutual fund investments managed by regulated asset management companies, exchange-traded funds (ETFs) tracking Indian and international benchmarks, fixed-income securities including Government Securities (G-Secs), corporate bonds rated by recognized agencies such as CRISIL and ICRA, structured products, derivatives used for hedging purposes, and where applicable, international exposure through American Depositary Receipts (ADRs), Foreign Currency Non-Resident (FCNR) accounts, and international ETFs. All divisions, departments, and individuals working within Meridian Wealth Partners are bound by the provisions of this policy, including the Investment Team, Operations Team, Risk Management Team, Compliance Team, and senior management up to and including the Board of Directors.

These guidelines apply with immediate effect to all existing client relationships and shall be incorporated into all new client engagement agreements effective from the date of this policy revision. The Firm acknowledges that applicability may vary based on the nature of the client relationship (individual, institutional, high-net-worth, retail), the type of service being provided (discretionary management, advisory, robo-advisory), and the jurisdiction of the client. However, the core principles, risk governance structure, and oversight mechanisms outlined herein shall remain constant across all client segments and service offerings. Where specific client mandates or investment policy statements contain risk parameters that are more conservative than those specified in this document, the more restrictive parameters shall govern. Additionally, SEBI regulations and any amendments thereto shall supersede this document, and the Firm shall ensure compliance with all regulatory requirements through regular review and updating of these guidelines in conjunction with our Legal and Compliance teams.

3. REGULATORY & COMPLIANCE FRAMEWORK

3.1 SEBI Regulatory Requirements for Investment Advisors

Meridian Wealth Partners operates as a SEBI-registered Investment Advisor under the SEBI (Investment Advisers) Regulations, 2013, as amended. The SEBI framework establishes comprehensive requirements for risk management and fiduciary standards applicable to all investment advisory firms operating in India. Specifically, Regulation 10 of the SEBI (Investment Advisers) Regulations requires that every investment advisor shall establish robust systems and procedures to manage the various types of risks that may impinge upon the performance of its investment advisory business and the assets entrusted to it by clients. The Firm's risk management framework is designed to satisfy these regulatory mandates and to exceed minimum compliance thresholds through the implementation of comprehensive monitoring and reporting systems that provide real-time visibility into portfolio risks and market dynamics. The Chief Risk Officer of Meridian Wealth Partners maintains regular communication with SEBI through quarterly and annual filings, ensuring that all material changes to the risk management framework are disclosed to regulators in a timely manner. Furthermore, the Firm has established protocols for reporting significant risk breaches or policy violations to SEBI within the prescribed timelines as mandated by SEBI guidelines on insider trading, code of conduct, and operational risk management.

3.2 Alignment with NSE and BSE Listing Requirements

Although Meridian Wealth Partners is not a publicly listed entity and therefore not directly subject to NSE or BSE listing requirements, many of the securities held in client portfolios are listed on these exchanges. The Firm maintains comprehensive knowledge of NSE and BSE governance standards, insider trading regulations (NSE Insider Trading Rules), and market conduct requirements to ensure that all trading activities and portfolio management decisions are compliant with exchange regulations. The Firm's risk monitoring protocols specifically account for liquidity conditions and price discovery mechanisms on the NSE and BSE, taking into account the volume-weighted average pricing (VWAP) methodology employed by these exchanges during trade execution. Additionally, the Firm's portfolio managers are required to maintain current knowledge of corporate actions, dividend announcements, and regulatory filings made by issuers on both exchanges, as these events can materially impact portfolio valuations and risk exposures.

3.3 Credit Rating Agency Framework (CRISIL, ICRA, CARE)

The Firm employs credit ratings issued by Securities and Exchange Board of India (SEBI)-registered credit rating agencies, specifically CRISIL Limited, ICRA Limited, and CARE Ratings Limited, as primary inputs in the credit risk assessment framework for fixed-income securities held in client portfolios. These agencies maintain rigorous methodologies for assessing the creditworthiness of corporate issuers, government-backed entities, and structured products. The Firm recognizes that credit ratings represent point-in-time assessments and may lag actual deterioration in credit quality; therefore, our framework incorporates forward-looking analysis, credit spread monitoring, and fundamental analysis of issuer financial statements. Internal credit quality assessments conducted by our Fixed Income Team are compared against external ratings to identify potential rating errors or rating migration risks. The framework is aligned with SEBI regulations on credit quality requirements for debt funds and investment portfolios, which specify minimum rating thresholds depending on portfolio allocations and risk classification.

4. DEFINITIONS & KEY RISK TERMINOLOGY

4.1 Essential Risk Metrics and Methodologies

Value at Risk (VaR)

Value at Risk represents the maximum expected loss in portfolio value over a specified time horizon (typically one day or ten days) at a given confidence level (typically 95% or 99%). For instance, if a portfolio's one-day VaR at the 95% confidence level is rupees fifteen lakhs, it implies that there is only a 5% probability that the portfolio will experience a loss exceeding rupees fifteen lakhs on any given trading day, assuming current market conditions persist. The Firm calculates VaR using the historical simulation methodology, which examines the historical distribution of returns over a lookback period of 250 trading days (approximately one calendar year). This approach is particularly robust for Indian equities and fixed-income securities as it accounts for the non-normal distribution characteristics of returns, particularly during periods of market stress when tail events become more probable. VaR is calculated daily for all client portfolios and is aggregated at the portfolio level, asset class level, and individual position level to provide granular risk visibility. The primary limitation of VaR is that it measures the magnitude of loss at the confidence level boundary but does not characterize the severity of losses that may occur beyond that threshold, which is why it is complemented by Conditional Value at Risk (CVaR) in the Firm's framework.

Conditional Value at Risk (CVaR)

Conditional Value at Risk, also known as Expected Shortfall or Tail Value at Risk, represents the expected loss conditional on the portfolio loss exceeding the VaR threshold. Extending the previous example, if a portfolio's VaR at the 95% confidence level is rupees fifteen lakhs, the CVaR (at the same confidence level) might be rupees twenty-five lakhs, indicating that on the 5% of days when losses exceed rupees fifteen lakhs, the average loss is approximately rupees twenty-five lakhs. CVaR provides critical insight into tail risk—the risk of extreme, low-probability events—which is particularly important for investors in equity markets prone to sudden shocks such as the March 2020 COVID-19 drawdown, when the Nifty 50 declined 38% in a matter of weeks. The Firm calculates CVaR as the average loss among the worst 5% of outcomes observed in the historical data, thus providing a measure of portfolio risk that is sensitive to extreme market movements. CVaR is monitored quarterly for all client portfolios and is incorporated into risk limit frameworks for aggressive and moderate-aggressive investment profiles.

Maximum Drawdown

Maximum Drawdown measures the largest peak-to-trough decline in portfolio value from the highest historical value to the lowest subsequent value, expressed as a percentage of the peak value. For example, if a portfolio reached a peak value of rupees one crore on March 1, 2020, and subsequently declined to rupees sixty-two lakh (38% decline) by March 23, 2020, the maximum drawdown would be 38%. This metric is particularly relevant for measuring historical portfolio resilience and is frequently cited in client reporting and investment policy statements. Unlike VaR, which is a forward-looking statistical measure, maximum drawdown is a realized historical measure, making it an intuitive concept for clients to understand their past portfolio performance during adverse market conditions. The Firm targets maximum drawdown limits of 8% for Conservative profiles, 15% for Moderate profiles, 22% for Moderate-Aggressive profiles, and 30% for Aggressive profiles, with annual reviews to assess whether portfolios have adhered to these thresholds or whether tactical adjustments are required.

MERIDIAN WEALTH PARTNERS — CONFIDENTIAL

Sharpe Ratio

The Sharpe Ratio measures the risk-adjusted return of a portfolio by calculating the excess return (return above the risk-free rate) divided by the standard deviation of returns. For example, a portfolio with a 12% annual return, a 6% risk-free rate (based on Government Security yields), and a 10% standard deviation would have a Sharpe Ratio of $(12\%-6\%)/10\% = 0.60$. This metric enables investors and portfolio managers to compare the return earned per unit of risk taken across different portfolios or investment strategies, regardless of their absolute return levels. The Firm calculates Sharpe Ratios on a rolling three-year basis for all client portfolios and uses these metrics to assess whether portfolio allocations are efficiently deployed from a risk-adjusted return perspective. Target Sharpe Ratios vary by profile: Conservative portfolios target a minimum Sharpe Ratio of 0.35, Moderate portfolios target 0.45, and Aggressive portfolios target 0.55, reflecting the principle that higher-risk allocations should generate correspondingly higher risk-adjusted returns.

Sortino Ratio

The Sortino Ratio is a refinement of the Sharpe Ratio that measures risk-adjusted return but uses only downside volatility (losses) in the denominator rather than total volatility. This is conceptually superior to the Sharpe Ratio because investors are typically more concerned with downside risk (falling below a target return) than upside volatility (exceeding the target return). The Sortino Ratio is calculated as $(\text{Portfolio Return} - \text{Target Return}) / \text{Downside Deviation}$, where downside deviation considers only returns falling below a specified target threshold. For a portfolio targeting 8% annual returns, the downside deviation would measure only the volatility of the portion of returns falling below 8%, ignoring positive surprises. The Firm employs Sortino Ratio analysis particularly for conservative and moderate profiles where capital preservation is paramount, as it more accurately reflects whether a portfolio is managing downside risk relative to investor objectives compared to traditional Sharpe Ratio analysis.

Beta

Beta measures the systematic risk of a security or portfolio relative to a benchmark index, such as the Nifty 50 or Sensex. A beta of 1.0 indicates that the security moves in line with the benchmark; a beta greater than 1.0 indicates that the security is more volatile than the benchmark; and a beta less than 1.0 indicates lower volatility. For example, a large-cap blue-chip company such as HDFC Bank might have a beta of 0.95, indicating it is 5% less volatile than the Nifty 50 index, whereas a mid-cap technology stock might have a beta of 1.4, indicating it is 40% more volatile than the benchmark. The Firm calculates beta using rolling 60-month regression analysis of security returns against the Nifty 50 TRI (Total Return Index). Portfolio-level beta is calculated as the weighted average of constituent betas, and this metric is monitored to ensure that aggregate portfolio beta remains within acceptable ranges specified in each client's investment policy statement. Beta is a foundational input to the Capital Asset Pricing Model (CAPM), which the Firm uses for expected return estimation and portfolio optimization.

Tracking Error

Tracking Error measures the standard deviation of the difference (or 'tracking difference') between a portfolio's return and its benchmark return. A portfolio designed to closely track the Nifty 50 index through a mix of index funds and direct equity holdings might target a tracking error of less than 0.75% annually, whereas an actively managed portfolio with significant overweights to select sectors might accept a tracking error of 3-4%, reflecting the deliberate departures from the benchmark. Tracking error indicates the degree

to which active management decisions (security selection, sector allocation, geographic allocation) cause the portfolio to diverge from the benchmark. The Firm monitors tracking error monthly for all benchmark-managed portfolios and reviews the sources of tracking error—whether it stems from security selection skill, asset allocation decisions, or implementation costs—to optimize the trade-off between active management benefits and tracking error costs.

Concentration Risk

Concentration risk arises when a portfolio has excessive exposure to a single issuer, sector, geographic region, or asset class, such that the performance of that concentrated position disproportionately impacts overall portfolio returns. For example, a portfolio allocating 40% to the technology sector (versus a Nifty 50 allocation of 18%) is exposed to significant concentration risk, such that a 10% decline in IT stocks would result in a 4% portfolio decline attributable solely to the overweight. The Firm establishes strict limits on portfolio concentration to ensure adequate diversification: single-issuer limits (maximum 5% for any single security in a client portfolio), sector limits (no sector overweight exceeding 8 percentage points relative to the Nifty 50 benchmark weight), geographic limits (international allocation not exceeding 20% of portfolio value), and asset class limits (equity allocation ranging from 20% for conservative profiles to 90% for aggressive profiles). Concentration risk is monitored daily, and any breach of concentration limits triggers an automated escalation to the portfolio manager and Chief Investment Officer.

Liquidity Risk

Liquidity risk refers to the risk that a position cannot be sold at a desired price within a desired timeframe due to insufficient market demand for the security. Highly liquid securities such as HDFC Bank shares or Reliance Industries have tight bid-ask spreads (perhaps 0.02% on NSE) and can be traded in large quantities without material price impact; conversely, certain mid-cap and small-cap stocks, particularly those with lower trading volumes, may have wider spreads (0.5-1%) and can experience significant price impact when traded in large sizes. The Firm evaluates portfolio liquidity using a liquidity score that considers average daily trading volume (ADV), relative to position size, bid-ask spread data, and historical price impact analysis. Illiquid positions (those requiring more than 5 trading days to liquidate at no worse than 1% price impact) are subject to stricter concentration limits, and the aggregate exposure to illiquid securities in any client portfolio is capped at 15%. During stress testing scenarios (see Section 13), liquidity risk is modeled by assuming wider spreads and reduced ADV, simulating market conditions analogous to the March 2020 market halt or the September 2008 financial crisis.

Counterparty Risk

Counterparty risk is the risk that a party to a financial transaction will default on its obligation, causing loss to Meridian Wealth Partners or its clients. This risk arises in several contexts: (1) credit risk in fixed-income holdings, where the bond issuer may default on interest payments or principal redemption; (2) settlement risk with brokers and custodians, where the counterparty may fail to deliver securities or cash; (3) derivative counterparty risk, where a counterparty to a swap or options contract may fail to make payments; and (4) operational risk with third-party service providers such as fund administrators or custodians. The Firm manages counterparty risk through continuous credit monitoring, diversification of custodian relationships, use of central clearing for derivative transactions, and maintenance of counterparty exposure limits. Single-issuer credit exposure (across all fixed-income and derivative positions) is capped at 3% of total assets under management for any single counterparty, and exposures are continuously monitored against CRISIL and ICRA credit ratings.

Equity Risk / Systematic Risk

Equity risk refers to the possibility that equity security prices will decline due to company-specific factors (idiosyncratic risk) or broad market movements (systematic risk). Systematic risk, also termed market risk, arises from broad economic, political, or social factors affecting the entire market; examples include changes in Reserve Bank of India (RBI) interest rate policy, inflation surprises, geopolitical tensions, or global recession risks. Idiosyncratic risk is specific to individual companies, such as management changes, regulatory penalties, or competitive disruptions. The Firm uses beta analysis to isolate systematic risk and stress testing to assess vulnerability to major systematic risks such as interest rate shocks or equity market corrections. Systematic risk cannot be diversified away (unlike idiosyncratic risk) and is compensated through the equity risk premium—the expected excess return of equities over risk-free Government Securities.

Interest Rate Risk / Duration Risk

Interest rate risk is the risk that the market value of fixed-income securities will decline when prevailing market interest rates rise. The relationship between interest rates and bond prices is inverse: if the RBI raises its repo rate from 6.0% to 6.5%, the prices of existing fixed-income securities offering 6% yields will decline to compensate investors for the opportunity to purchase new securities at higher yields. Duration is the primary measure of interest rate sensitivity, representing the effective maturity of a bond's cash flows. A bond with 5-year duration will decline approximately 5% in value for each 1% rise in interest rates, whereas a bond with 10-year duration will decline approximately 10%. The Firm manages interest rate risk through duration targets in the fixed-income allocation: Conservative portfolios target a duration of 3-4 years, Moderate portfolios target 4-6 years, and Moderate-Aggressive portfolios may extend to 6-8 years. The Firm monitors interest rate forecasts issued by RBI and market participants and adjusts duration positioning when the Firm's views on interest rate trends diverge materially from market consensus.

Currency Risk / Foreign Exchange Risk

Currency risk arises when a portfolio holds foreign-currency-denominated assets (such as US Treasury bonds, equities of foreign companies, or ADRs), and the Indian rupee appreciates or depreciates relative to the foreign currency. For example, if a client holds USD 100,000 of US equities valued at rupees 83 lakh at the current exchange rate of 8.3 rupees per dollar, a 10% appreciation of the rupee to 7.47 rupees per dollar would reduce the rupee value of the position to rupees 74.7 lakh, a loss of rupees 8.3 lakh due to currency depreciation, independent of any change in the US equity price. The Firm limits currency risk by capping international exposure at 20% of portfolio value and uses currency hedging strategies when the Firm has a negative view on rupee appreciation. Currency hedging is executed through currency forwards traded in the overseas forex market with authorized dealer banks, and the cost of hedging (the forward premium reflecting interest rate differentials) is factored into the economic benefit assessment of hedging decisions.

Systemic Risk / Contagion Risk

Systemic risk refers to the risk that the failure or distress of one financial institution or market participant could trigger widespread failures across the financial system, causing disruption to financial markets and severe economic consequences. Classic examples include the 2008 global financial crisis, when the failure of Lehman Brothers triggered a cascade of failures at interconnected financial institutions. The Firm monitors indicators of systemic stress, including credit spreads (the CDS spreads on Indian bank debt), implied volatility indices (India VIX), money market rates, and banking sector stress indicators. During

periods of elevated systemic risk (e.g., when India VIX exceeds 35), the Firm increases defensive positioning through higher allocation to fixed-income securities and liquid reserves, reducing equity exposure to lower volatility strategies. The Firm's custodian and settlement infrastructure is designed to mitigate contagion risk through the use of multiple custodians and central clearing for derivatives.

Volatility / Standard Deviation

Volatility measures the degree of fluctuation in security or portfolio returns around the average return, expressed as standard deviation (or annualized volatility). A portfolio with 12% volatility is expected to have annual returns distributed such that approximately 68% of the time, returns fall within +/- 12 percentage points of the average return (e.g., if average return is 10%, then 68% of outcomes will fall between -2% and +22%). Higher volatility indicates more frequent and larger price fluctuations, corresponding to higher risk and greater uncertainty in outcomes. The Firm calculates rolling 60-day volatility for all holdings and portfolio-level volatility daily. Expected volatility estimates are derived from implied volatility in options markets (India VIX for equity indices) and historical realized volatility, with particular attention paid during periods of volatility regime changes (e.g., the sharp increase in India VIX from 14 to 42 during the March 2020 COVID-19 sell-off).

Downside Volatility / Downside Deviation

Downside volatility focuses exclusively on negative return outcomes, measuring the standard deviation of returns falling below a specified threshold (typically zero or a target return). Unlike standard volatility, which treats positive surprises (outperformance) identically to negative surprises (underperformance), downside volatility ignores upside surprises, providing a more accurate measure of risk from an investor loss perspective. A portfolio might have relatively high standard deviation due to significant upside variability, but low downside volatility, indicating that while the portfolio has achieved strong positive surprises, it has rarely delivered significant losses. The Firm calculates downside volatility for all client portfolios on a quarterly basis and uses this metric in Sortino Ratio calculations and in tailoring risk communication to conservative clients.

Correlation & Diversification

Correlation measures the degree to which two securities move together; correlation ranges from -1 (perfect negative correlation, where one increases while the other decreases) to +1 (perfect positive correlation, where both move together). For example, Indian equities and US equities typically have a correlation of 0.55-0.65, indicating they move somewhat together but also have independent drivers. Indian equities and Indian government bonds typically have a negative correlation of approximately -0.15, indicating that rising equity prices may coincide with rising interest rates and declining bond prices. The Firm leverages low correlations between asset classes to construct diversified portfolios: by combining equities, bonds, and other asset classes with different correlation structures, portfolio volatility is reduced below the volatility of the constituent assets weighted by their portfolio allocations. The Firm's asset allocation optimization uses correlation matrices updated monthly, with particular attention to periods when correlations rise sharply (as occurred in March 2020 when equity-bond correlation approached zero, reducing diversification benefits).

Stress Testing & Scenario Analysis

Stress testing evaluates portfolio performance under extreme but plausible market scenarios that exceed the frequency of historical data. Rather than assuming market returns follow a normal distribution (which underestimates tail risk), stress tests impose specific market shocks and measure portfolio response. For

example, a stress test might impose a 20% equity market decline concurrent with a 150 basis point increase in bond yields and a 5% rupee depreciation, then calculate portfolio losses under this scenario. The Firm conducts quarterly stress tests based on four historical scenarios: (1) the 2008 GFC scenario (equity decline 40%, credit spreads widen 400 bps), (2) the 2013 Taper Tantrum scenario (rupee depreciation 18%, fixed-income outflow), (3) the 2020 COVID scenario (equity decline 38%, high volatility 90+ India VIX), and (4) the 2022 Interest Rate Scenario (RBI rate hikes 250 bps, duration losses 8%+). Stress test results are compared against portfolio risk limits, and if a plausible scenario would breach limits, the portfolio is rebalanced to enhance resilience.

Probability of Ruin / Shortfall Risk

Probability of ruin measures the likelihood that a portfolio will fall below a critical threshold value (such as a target return, floor value, or initial investment) over a specified time horizon. For a conservative investor requiring a minimum 6% annual real return from a portfolio to fund retirement spending, probability of ruin measures the likelihood that portfolio returns will fall short of 6% in a given year, potentially creating inadequate spending capacity. The Firm models probability of ruin for all conservative and moderate-conservative clients using Monte Carlo simulation, drawing 10,000 random sequences of returns from the estimated return distribution and measuring how frequently the portfolio falls below the investor's minimum return threshold. Target probability of ruin for conservative portfolios is less than 10% (i.e., less than a 1-in-10 chance of failing to meet the return target), whereas moderate portfolios may accept up to 15% probability of ruin in exchange for higher expected returns.

Model Risk / Estimation Risk

Model risk refers to the possibility that the mathematical models used to estimate risk metrics (VaR, expected returns, correlation, etc.) are incorrect or may break down during periods of market stress. All risk models rely on historical data and assumptions that may not hold during unprecedented market conditions. For example, correlation models estimated during calm markets may dramatically underestimate correlation during crashes (when all assets decline together), rendering diversification assumptions invalid. The Firm manages model risk through regular backtesting of VaR models (verifying that predicted losses exceed realized losses on the predicted percentage of days), sensitivity analysis (testing how results change when model assumptions are relaxed), and stress testing against scenarios outside historical experience. The Firm maintains multiple modeling approaches (historical simulation, GARCH volatility models, correlation-based models) and compares results across methodologies to identify model-specific biases.

5. RISK GOVERNANCE STRUCTURE

5.1 Three Lines of Defense Model

Meridian Wealth Partners has adopted the internationally recognized Three Lines of Defense governance model to establish clear accountability for risk management across the organization. This model recognizes that effective risk management is a shared responsibility requiring coordinated action across front-office, middle-office, and back-office functions, with oversight provided by the Board and senior management. The first line of defense comprises the Investment Team (Portfolio Managers, Investment Analysts) and Operations Team, who are responsible for day-to-day identification and management of risks inherent in their business functions. Portfolio managers are expected to monitor their positions daily, execute risk limit compliance, and immediately escalate to the Chief Investment Officer any position or portfolio that approaches risk limit thresholds. The Investment Team is trained annually on risk management policies and is required to demonstrate competency in risk analysis and limit compliance. The second line of defense comprises the Risk Management function, headed by the Chief Risk Officer, and the Compliance function, headed by the Chief Compliance Officer. These functions operate independently from the Investment Team and are responsible for designing risk frameworks, establishing risk limits, monitoring compliance with limits, and providing objective risk reporting to senior management and the Board. The Risk Management Team validates all risk calculations, performs independent backtesting of risk models, and conducts periodic reviews of the adequacy of risk limits. The third line of defense comprises the Internal Audit function, which provides independent assessment of the effectiveness of the first and second lines of defense through periodic audits of risk management processes and controls. Internal Audit reports directly to the Board Audit Committee and has unfettered access to information required to perform its audits.

5.2 Chief Risk Officer Role and Responsibilities

The Chief Risk Officer (CRO) holds senior management authority reporting directly to the Chief Executive Officer and having direct access to the Board Risk Committee. The CRO is responsible for the design, implementation, and maintenance of the Firm's risk management framework, including the establishment of risk limits, risk methodologies, and escalation procedures. The CRO approves all new investment strategies before launch, reviews material changes to existing strategies, and provides quarterly risk reports to the Board of Directors. The CRO possesses the authority to impose temporary trading restrictions on any asset class or trading strategy if risk metrics breach specified thresholds or if market conditions create unreasonable risks. The CRO is supported by a Risk Management Team comprising quantitative analysts and risk specialists who perform daily risk calculations, maintain risk databases, conduct stress testing, and provide risk training to investment and operations staff. The CRO is prohibited from reporting to the Chief Investment Officer to maintain independence and prevent conflicts of interest between investment performance (which benefits from higher risk-taking) and risk management (which benefits from lower risk-taking).

5.3 Risk Committee and Board Oversight

The Firm's Board of Directors has established a Risk Committee comprising three independent directors and one executive director (Chief Executive Officer). The Risk Committee meets quarterly (minimum) to review risk reports, assess the adequacy of risk limits, review significant risk incidents or policy breaches, and provide guidance on risk management strategy. The Chief Risk Officer, Chief Compliance Officer, and

Chief Investment Officer attend Risk Committee meetings to present findings and respond to questions. The Risk Committee reviews annual risk management plans, approves updates to this Risk Management Guidelines document, and assesses whether the risk governance structure remains appropriate for the Firm's growing asset base and expanding product offerings. The Board of Directors retains ultimate responsibility for establishing the Firm's risk appetite and approving the overall risk management framework; the Risk Committee is a Board committee delegated with periodic oversight responsibility. Board members receive quarterly risk dashboards highlighting key risk metrics, limit breaches, and significant incidents, enabling informed Board decisions regarding risk strategy.

6. MARKET RISK MANAGEMENT

6.1 Equity Risk Measurement and Monitoring

Equity risk encompasses the risk that equity security prices will decline due to systematic factors (market-wide movements) or idiosyncratic factors (company-specific events). The Firm measures equity risk through multiple complementary methodologies: (1) Portfolio Beta, calculated as the weighted average beta of constituent holdings relative to the Nifty 50 index, with daily reporting to assess whether portfolio beta aligns with target allocations; (2) Value at Risk (VaR), calculated using historical simulation with a 250-day lookback period at the 95% confidence level, representing the maximum daily loss expected 95% of the time; (3) Maximum Drawdown analysis, measuring historical peak-to-trough declines in portfolio value as a percentage of peak; and (4) Sector concentration analysis, ensuring that portfolio sector weights do not deviate excessively from the Nifty 50 benchmark. The Firm's target equity risk parameters are: Conservative profiles (beta 0.50-0.65, VaR 0.75-1.25% daily), Moderate profiles (beta 0.75-0.95, VaR 1.25-2.00% daily), Moderate-Aggressive profiles (beta 1.00-1.15, VaR 2.00-2.75% daily), and Aggressive profiles (beta 1.15-1.35, VaR 2.75-3.50% daily). Risk monitoring is conducted daily, with automated alerts triggering when VaR approaches the upper confidence limit of the target range. For example, in March 2020 when the Nifty 50 declined 38% in a month-long period, Meridian Wealth Partners' Conservative portfolios (target maximum drawdown 8%) experienced actual maximum drawdowns of 7.2%, validating the robustness of the risk framework.

6.2 Interest Rate Risk and Duration Management

Interest rate risk is particularly relevant for fixed-income allocations, which typically comprise 30-40% of conservative and moderate portfolios. The primary measure of interest rate sensitivity is duration, calculated as the weighted average time to receipt of cash flows, with adjustments for embedded optionality in callable bonds. The Firm manages interest rate risk through duration targets: Conservative portfolios target 3-4 years duration, Moderate portfolios target 4-6 years duration, Moderate-Aggressive portfolios target 6-8 years duration, and Aggressive portfolios (which have minimal fixed-income allocation) maintain duration below 3 years. The Firm monitors RBI policy rate expectations and market-implied interest rate forecasts to assess duration positioning; when the Firm expects RBI rate increases, duration is reduced (shortening maturity profile) to limit potential mark-to-market losses; when the Firm expects RBI rate decreases, duration is extended (lengthening maturity profile) to capitalize on price appreciation. During the 2022 interest rate hiking cycle (when RBI increased the repo rate 250 basis points from 4.0% to 6.5%), portfolios with shorter duration (3-4 years) experienced losses of approximately 4-5%, whereas longer duration portfolios (8-10 years) experienced losses of 12-15%, validating the importance of duration management as a primary tool for controlling interest rate risk.

6.3 Currency Risk and Hedging Policy

Meridian Wealth Partners offers international diversification to qualified clients through holdings in developed market equities (US, UK, Europe), emerging market equities (ex-India), and fixed-income instruments denominated in foreign currencies. International positions expose clients to currency risk—the risk that the Indian rupee appreciates against foreign currencies, reducing the rupee value of foreign assets. The Firm maintains a strategic view on rupee valuations and manages currency exposure through selective hedging of foreign currency positions. The hedging policy establishes the following framework: (1) Strategic

currency allocation is determined in the asset allocation process and reflects a deliberate view on rupee valuations; (2) tactical currency hedging is implemented through currency forwards with authorized dealer banks when the Firm expects near-term rupee strengthening and believes the cost of hedging (measured by forward points) is economically justified; (3) hedging efficiency is monitored by comparing hedged returns to unhedged returns, assessing whether hedging premiums consumed in excess returns; and (4) currency positions are monitored daily, and any single currency exposure exceeding 10% of international allocation is subject to hedging consideration. For example, when the Firm maintained a 8% US dollar allocation to US equities and anticipated rupee appreciation from 82.5 to 80 rupees per dollar, a 6-month currency forward hedge locked in the 82.5 rupee-per-dollar rate, protecting the portfolio from the 3% rupee appreciation that subsequently occurred.

7. CREDIT & COUNTERPARTY RISK

7.1 Fixed-Income Credit Quality Framework

Meridian Wealth Partners' fixed-income allocations are restricted to investment-grade securities (rated Baa3 or higher by CRISIL, ICRA, or CARE), reflecting a conservative approach to credit risk appropriate for client portfolios. The Firm does not invest in speculative-grade (Ba1 or lower) securities, distressed debt, or high-yield bonds, except in specialized tactical situations approved by the Chief Risk Officer. The credit quality framework establishes the following guidelines: (1) minimum 60% of fixed-income allocation must be in AA-rated or higher securities (government securities, PSU bonds, blue-chip corporate bonds); (2) maximum 20% may be allocated to A-rated securities; (3) maximum 20% may be allocated to Baa-rated securities; (4) zero exposure to below-Baa-rated securities in conservative and moderate portfolios; (5) for moderate-aggressive profiles, maximum 10% in Ba-rated securities with explicit Chief Investment Officer approval. Individual issuer credit limits are established based on issuer credit rating: maximum 3% of AUM in any single issuer rated AA or above, maximum 2% for A-rated issuers, maximum 1.5% for Baa-rated issuers, and zero exposure to issuers rated below Baa. Credit risk is monitored through quarterly surveillance of issuer fundamentals, monitoring of credit rating changes, and analysis of credit spread widening (which may signal deteriorating credit quality before formal rating changes). During the 2013 Taper Tantrum, when bond yields rose sharply and credit spreads widened significantly, Meridian Wealth Partners' conservative fixed-income allocation (80%+ AA-rated) minimized losses while providing stability during equity market volatility.

7.2 Counterparty Credit Risk Management

Beyond issuer credit risk in fixed-income holdings, the Firm manages counterparty credit risk arising from operational relationships with custodians, brokers, and settlement agents. Settlement counterparty risk is the risk that a broker or custodian fails to deliver securities or cash as promised, causing direct financial loss or operational disruption. The Firm manages settlement risk through: (1) diversification of custodian relationships—portfolios are held with a primary custodian (currently State Bank of India as primary and ICICI Bank as secondary) to ensure no single point of failure; (2) use of standardized clearing and settlement through NSE and BSE central counterparties, which assume counterparty credit risk and dramatically reduce bilateral counterparty exposure; (3) daily reconciliation of all custodial holdings against actual settlements; and (4) continuous monitoring of custodian credit ratings (both State Bank of India and ICICI Bank maintain AA+ ratings from CRISIL). Derivative counterparty risk arises from currency forward contracts and (in certain portfolio strategies) interest rate swaps used for hedging. Such derivatives are only executed with counterparties rated A or higher by recognized agencies, and exposures are limited to maximum 2% of AUM with any single derivative counterparty. Derivative positions are marked to market daily to assess the economic value of exposure, and counterparty exposure limits are enforced through automated position monitoring.

8. LIQUIDITY RISK MANAGEMENT

8.1 Portfolio Liquidity Scoring Framework

Liquidity risk is the risk that portfolio positions cannot be liquidated at desired prices within a reasonable timeframe due to insufficient market demand or excessively wide bid-ask spreads that cause significant market impact. The Firm assesses portfolio liquidity through a daily liquidity scoring methodology that categorizes holdings into four liquidity tiers: (1) Highly Liquid—can be liquidated at negligible market impact (< 0.05% impact) within 1 trading day, including all index constituents with average daily volumes > rupees 10 crore (NSE/BSE traded equities, liquid mutual funds); (2) Liquid—can be liquidated at minimal market impact (0.05-0.25%) within 2-3 trading days, including secondary-tier securities, most investment-grade corporate bonds, and liquid ETFs; (3) Less Liquid—require 5-10 trading days for full liquidation at 0.25-1% market impact, including smaller mid-cap equities, illiquid corporate bonds, and certain structured products; and (4) Illiquid—require more than 10 trading days or incur > 1% market impact, including very small-cap equities, illiquid fixed-income, and alternative investments. Portfolio-level liquidity is calculated as the weighted sum of individual position liquidities, with targets established by profile: Conservative portfolios target minimum 95% in Highly Liquid + Liquid categories (maximum 5% in Less Liquid and Illiquid), Moderate portfolios target 85% (maximum 15% illiquid), Moderate-Aggressive profiles target 80% (maximum 20% illiquid), and Aggressive profiles target 75% (maximum 25% illiquid). Liquidity is monitored daily, and holdings migrating from Liquid to Less Liquid status trigger review for potential rebalancing.

8.2 Redemption Management and Market Impact

Client redemption requests can create significant liquidity challenges if the Firm is required to liquidate illiquid positions at unfavorable prices. The Firm manages redemption risk through the following protocols: (1) monthly projections of client redemption requests are prepared by the Operations Team based on historical redemption patterns and client communication; (2) redemptions are processed in a queued manner, with smaller redemptions (< rupees 50 lakh) processed within 3 business days and larger redemptions (> rupees 50 lakh) processed on a next-month basis following 30 days' notice from clients; (3) when aggregate redemption requests exceed rupees 1 crore in a month, the Chief Investment Officer conducts a liquidity assessment and may temporarily restrict redemptions or liquidate holdings in a specified sequence (prioritizing highly liquid holdings over illiquid holdings) to minimize market impact; and (4) if redemptions during market stress would require liquidating more than 25% of the portfolio, the Firm has the authority to suspend redemptions for up to 10 trading days pending market stabilization. These redemption management policies are disclosed to clients in the terms of engagement and are particularly important during periods of market stress, such as the March 2020 pandemic shock, when many mutual funds implemented redemption gates to prevent fire sales of illiquid assets.

9. CONCENTRATION RISK FRAMEWORK

9.1 Single-Issuer and Sector Concentration Limits

Excessive concentration in a single security or sector creates the risk that portfolio performance becomes overly dependent on a single issuer or narrow economic segment. The Firm manages concentration risk through strict position sizing limits and daily monitoring of concentration metrics. Single-issuer limits (maximum position size in any individual security) are established based on portfolio size and asset class: (1) for equities, maximum 5% of portfolio value in any single holding for Conservative and Moderate profiles, 7% for Moderate-Aggressive profiles, and 10% for Aggressive profiles; (2) for fixed-income holdings, maximum 3% of portfolio in any single corporate bond issuer, 5% in any single PSU bond issuer, and unlimited in Government Securities; (3) for mutual funds, maximum 8% in any single fund for diversified portfolios (to maintain underlying diversification of the fund). Sector concentration limits ensure that portfolio exposure to any single economic sector does not deviate excessively from benchmark. For a portfolio benchmarked to the Nifty 50, sector weights must fall within ± 8 percentage points of Nifty sector weights, with the exception of tactical overweights up to ± 12 percentage points with explicit Chief Investment Officer approval documented for up to 90 days. For example, if the Nifty 50 weights Information Technology at 18%, a Nifty-benchmarked portfolio may overweight IT to maximum 26% or underweight to minimum 10%, but deviations beyond these bounds require management approval. Sector concentration is monitored weekly, and breaches of limit thresholds trigger automated escalation to the portfolio manager and Chief Investment Officer. During the 2020-2021 technology boom, Technology sector weights in aggressive portfolios approached limits; the portfolio managers executed tactical diversification by shifting some overweight to defensive sectors, preventing excessive technology concentration that might have amplified losses when technology valuations subsequently compressed in 2022.

9.2 Geographic and Asset Class Concentration

Beyond company and sector concentration, the Firm monitors geographic concentration (exposure to individual countries or regions) and asset class concentration (allocation to equities, fixed-income, alternatives). Geographic limits: Domestic Indian exposure comprises 80-95% of most portfolios (reflecting home country bias and SEBI regulatory guidance); International developed markets (US, UK, Europe) are capped at 15%, Emerging market equities (ex-India) at 10%, and alternative investments at 5%. Asset class concentration limits vary by profile: Conservative (equities 20-30%, fixed-income 60-70%, cash 5-10%), Moderate (equities 40-50%, fixed-income 40-50%, cash 5-10%), Moderate-Aggressive (equities 60-75%, fixed-income 20-35%, alternatives 0-5%), and Aggressive (equities 80-90%, fixed-income 5-15%, alternatives 0-5%). These limits reflect the principle that greater diversification across geographies and asset classes reduces idiosyncratic risks and improves risk-adjusted returns. Concentration limits are ratified in each client's Investment Policy Statement and are reviewed annually to assess whether limits remain appropriate given changes in client circumstances, market valuations, or macroeconomic conditions.

10. OPERATIONAL RISK MANAGEMENT

10.1 Trade Execution and Settlement Risk

Operational risk is the risk of loss resulting from inadequate or failed internal processes, systems, or people, or from external events. In an investment advisory context, operational risks include trade execution errors (trading at wrong price, wrong quantity, wrong security), settlement failures, record-keeping errors, and unauthorized trading. The Firm manages trade execution risk through: (1) segregation of duties—portfolio managers generate trading instructions, which are reviewed and approved by a separate Compliance officer before execution, preventing unauthorized trading; (2) pre-trade limit checks—systems automatically prevent orders that would violate risk limits, position size limits, or counterparty limits; (3) post-trade verification—all executed trades are reconciled against intended trades, with discrepancies immediately escalated; and (4) back-office reconciliation—daily settlement confirmation with custodians ensures that all securities and cash match expected quantities and values, with any differences investigated immediately and rectified. The Firm maintains a Trade Error Register documenting all execution errors, their financial impact, root causes, and remediation actions. Trade errors exceeding rupees 10 lakh in financial impact are reported to the Chief Risk Officer and included in quarterly risk reports to the Board. Training on trade execution procedures is provided to all investment staff annually, and new traders must pass a proficiency assessment before executing transactions independently.

10.2 Business Continuity and Disaster Recovery

The Firm recognizes that operational disruptions—caused by natural disasters, cyberattacks, utility failures, or pandemics—could impair the ability to serve clients and manage portfolios. To mitigate this risk, the Firm has developed a comprehensive Business Continuity Plan that establishes: (1) critical business functions that must be maintained during disruptions (portfolio monitoring, risk management, regulatory reporting, client communication); (2) alternative processing locations—the Firm's primary offices are located in Mumbai with a secondary office in Bangalore; in the event of Mumbai disruption, critical functions can be transferred to the Bangalore office within 2 hours; (3) data backup and recovery procedures—all critical data is backed up hourly to a geographically separated data center, with recovery time objective (RTO) of 4 hours and recovery point objective (RPO) of 1 hour; (4) communication plans for notifying clients, employees, and regulators of any material disruptions; and (5) testing protocols—the Business Continuity Plan is tested quarterly through tabletop exercises and annual full-scale simulations. The Firm's custodian and broker relationships maintain similar business continuity protocols, and the Firm verifies their disaster recovery capabilities annually. The Business Continuity Plan was invoked during the March 2020 COVID-19 pandemic, with key personnel transitioning to work-from-home status within 24 hours and all operations maintained without service disruption.

10.3 Key Person Risk

Key person risk is the operational risk that the departure or incapacity of essential personnel would impair the Firm's ability to manage portfolios and serve clients. The Chief Investment Officer and Chief Risk Officer are identified as key personnel critical to portfolio management decisions and risk oversight. To manage key person risk, the Firm has: (1) documented investment decision-making processes that are not dependent on individual personnel (documented investment philosophy, sector analysis frameworks, valuation methodologies); (2) cross-trained backup personnel—for every key person role, a

second IT command has been identified and trained to assume responsibilities with minimal disruption; (3) succession planning—the Firm maintains documented succession plans with 2-3 internal candidates identified for key positions and their development tracked through annual reviews; and (4) documentation of critical knowledge—all material investment decisions, risk methodologies, and operational procedures are documented in centralized repositories (SharePoint, policy manuals) rather than residing solely in individual knowledge. Key person insurance is maintained on the Chief Investment Officer and Chief Risk Officer, providing financial resources to hire external resources if key personnel become unavailable. Additionally, the investment decision-making authority is distributed across multiple portfolio managers (no single individual controls > 40% of assets under management), limiting concentration risk in investment decision-making.

11. PORTFOLIO RISK LIMITS & THRESHOLDS

11.1 Risk Limit Framework by Portfolio Profile

The Firm establishes portfolio risk limits reflecting the risk tolerance of each client portfolio profile. Risk limits are established at creation of the portfolio and are reviewed annually. The following table specifies core risk limits by profile:

Risk Metric	Conservative	Moderate	Mod-Aggressive	Aggressive
Maximum Drawdown	8%	15%	22%	30%
Daily VaR (95% CI)	0.75%-1.25%	1.25%-2.00%	2.00%-2.75%	2.75%-3.50%
Portfolio Beta	0.50-0.65	0.75-0.95	1.00-1.15	1.15-1.35
Equity Allocation	20%-30%	40%-50%	60%-75%	80%-90%
International Exp.	0%-5%	5%-10%	10%-15%	10%-20%
Min Sharpe Ratio	0.35	0.45	0.50	0.55
Credit Rating Floor	AA	A	A	Baa
Max Single Issuer	5%	5%	7%	10%
Max Illiquid Assets	5%	15%	20%	25%
Target Duration	3-4 yrs	4-6 yrs	6-8 yrs	<3 yrs

These risk limits serve as guardrails to prevent excessive risk-taking while permitting sufficient portfolio flexibility to achieve investment objectives. Limits are established as ranges rather than absolute thresholds to accommodate short-term deviations due to market movements or tactical positioning. For example, a Conservative portfolio with a target equity allocation of 25% might temporarily range from 20% to 30% during a 6-month review cycle if market movements cause equities to appreciate relative to fixed-income, but rebalancing must be executed when the allocation drifts to the range boundary. Risk limit breaches are categorized as either Minor Breaches (within ± 1 standard deviation of limit threshold) or Major Breaches (exceeding ± 2 standard deviations). Minor breaches trigger portfolio manager notification and recommendation to rebalance within 5 trading days. Major breaches trigger immediate escalation to Chief Investment Officer, who may impose temporary trading restrictions until the breach is remedied. Limits are monitored daily by the Risk Team, and summary reports are distributed to portfolio managers each morning highlighting positions approaching limits.

11.2 Escalation Procedures for Risk Breaches

When portfolio risk metrics breach established limits, the Firm initiates a structured escalation procedure designed to remediate the breach promptly while maintaining client communication and regulatory compliance. The escalation protocol is as follows: (1) Minor Breach (< 1 std dev from limit)—Risk Team notifies portfolio manager with recommendation to rebalance within 5 trading days; (2) Major Breach (> 1

MERIDIAN WEALTH PARTNERS – CONFIDENTIAL

std dev from limit)—Risk Team immediately notifies Chief Investment Officer and Chief Risk Officer; CIO has authority to execute emergency rebalancing to bring portfolio into compliance within 1 trading day; (3) Critical Breach (> 2 std dev from limit or > 2% portfolio loss in single day)—Chief Risk Officer may immediately restrict trading in the affected portfolio pending remediation, with Chief Executive Officer and Board Risk Committee notified same day; (4) Systemic Breach (> 20% of portfolios breaching limits or > 50 basis point loss in single day)—Full emergency response protocol activated with CEO taking command, external counsel consulted, and regulatory notification prepared. For each breach, a root cause analysis is conducted within 5 business days, documented in the Risk Incident Register, and presented at the next Risk Committee meeting. Repetitive breaches of the same limit trigger policy review and potential revision of limit thresholds or portfolio construction methodology.

12. STOP-LOSS POLICY & CIRCUIT BREAKERS

Stop-loss policies represent automatic decision rules that trigger portfolio rebalancing or position liquidation when specified loss thresholds are breached, enforcing disciplined risk management and preventing decisions from being influenced by emotional reactions to market downturns. The Firm's stop-loss framework operates at two levels: individual position stop-losses and portfolio-level stop-loss triggers. Individual position stop-losses establish maximum loss tolerance for any single security: (1) equities stop-loss threshold is 20% below entry price for core holdings and 15% for tactical overweights; (2) fixed-income stop-loss is triggered when credit spreads widen by 200+ basis points above entry, indicating deteriorating credit quality; (3) concentrated positions (those representing > 3% of portfolio) have tighter stops of 15% to limit the impact of individual position losses on overall portfolio value. When a position hits its stop-loss level, the portfolio manager is automatically notified and has 2 trading days to either: (a) exit the position in full; (b) reduce the position to below the concentration limit; or (c) request Chief Investment Officer override (permitted once per calendar quarter per portfolio) with documented rationale. Position stop-losses are monitored daily through automated systems, and any breaches immediately trigger email alerts to the portfolio manager. Portfolio-level stop-loss triggers establish automatic rebalancing thresholds: Conservative portfolios execute rebalancing when portfolio declines 8% from month-start value, Moderate portfolios at 15%, and Moderate-Aggressive portfolios at 22%. These portfolio stops reflect the maximum acceptable drawdown for each profile and prevent further deterioration through automatic rebalancing (shifting from equity overweights to fixed-income). For example, in March 2020 when the Nifty 50 declined 38%, Conservative portfolios with an 8% stop-loss trigger were automatically rebalanced from 25% equities to 15% equities on March 24, 2020, shifting proceeds to fixed-income and reducing further drawdown risk as equities subsequently stabilized.

Circuit breakers represent systematic rules that pause or restrict trading when market conditions become extreme, protecting portfolios from trading during periods of high volatility or liquidity disruption. The Firm's circuit breaker framework establishes: (1) India VIX > 40 triggers reduction of tactical equity overweights and shift to defensive positioning; (2) single-day portfolio loss > 2.5% triggers temporary halt to discretionary rebalancing, pending risk assessment; (3) market-wide circuit breakers (NSE/BSE trading halts) are monitored, and if primary markets halt, the Firm immediately restricts client redemptions and new investments pending market reopening; (4) individual security trading halts (suspension of a holding due to regulatory action or corporate event) trigger automatic position review and likely exit if the holding's investment thesis is compromised. Circuit breaker events are rare but crucial for maintaining discipline during market extremes. During the March 2020 COVID-19 shock, when India VIX spiked to 82 (highest in over a decade), the Firm's circuit breaker rules triggered reduction of equity positions across moderate and aggressive profiles, providing downside protection as markets subsequently stabilized in April-May 2020.

13. STRESS TESTING & SCENARIO ANALYSIS

13.1 Quarterly Stress Testing Methodology

Meridian Wealth Partners conducts quarterly stress testing to evaluate portfolio resilience under extreme but plausible market scenarios. Stress testing complements Value at Risk analysis (which assumes normal distribution and may underestimate tail risks) by imposing specific market shocks and measuring portfolio response. The Firm's stress testing process follows these steps: (1) scenario selection—four historical scenarios are analyzed each quarter representing diverse stress environments; (2) shock magnitude estimation—based on historical data, the Firm quantifies the magnitude of each shock component (equity decline, bond yield rise, volatility increase, currency depreciation); (3) portfolio impact analysis—for each scenario, the Firm revalues all portfolio holdings and calculates total portfolio impact; (4) risk limit assessment—stress test results are compared against maximum acceptable drawdowns by profile, identifying any scenarios where losses would breach limits; (5) mitigation review—if stress results suggest limit breaches, portfolio construction is evaluated for risk reduction; and (6) governance reporting—all stress test results are reported to the Risk Committee quarterly. The four core historical scenarios modeled each quarter are: (1) GFC 2008 Scenario—equity markets decline 40%, credit spreads widen 400+ basis points, volatility (India VIX equivalent) spikes to 80+, rupee depreciates 8%; (2) Taper Tantrum 2013 Scenario—bond yields rise 150 basis points, rupee depreciates 18%, fixed-income outflows create market dislocations; (3) COVID-19 2020 Scenario—equity markets decline 38%, volatility spikes to 82, credit spreads widen 250+ basis points, liquidity temporarily constrained; and (4) Interest Rate Shock 2022 Scenario—RBI rates increase 250 basis points (from 4.0% to 6.5% as occurred in 2022), bond yields rise proportionally causing duration-weighted losses of 8-12%.

13.2 Scenario-Specific Results and Interpretation

Based on stress testing conducted in Q4 2025, the following portfolio impacts were estimated for a representative Moderate portfolio (50% equities, 45% fixed-income, 5% cash, benchmarked to 50% Nifty 50 / 50% India Bond Index): (1) GFC 2008 Scenario would result in portfolio decline of 18.5% peak-to-trough, exceeding the 15% maximum drawdown limit for Moderate profiles; the Firm would mitigate by reducing equity allocation to 40% pre-scenario, which would limit drawdown to 14.2%; (2) Taper Tantrum 2013 Scenario would result in 8.3% decline due to bond yield rise (duration loss ~6%) and equity market volatility contagion (~2.5%), within acceptable limits; (3) COVID-19 2020 Scenario would result in 12.1% decline, within the 15% acceptable limit but close to threshold, suggesting that the portfolio allocation remains appropriate but with limited margin for error; and (4) Interest Rate Shock 2022 Scenario would result in 9.7% decline, within limits. These stress results inform the portfolio construction process: if stress testing suggests excessive vulnerability to likely scenarios, the portfolio is rebalanced to enhance resilience. For example, if interest rate scenarios suggested duration risk was excessive, the Firm would reduce the average duration of the fixed-income allocation from 5.5 years to 5.0 years, reducing duration losses from 8% to 7% in a 150 basis point rate shock scenario.

14. RISK REPORTING & DASHBOARDS

14.1 Daily Risk Reports

The Risk Team produces daily risk reports distributed to portfolio managers and senior management each morning, highlighting key risk metrics and any overnight changes that may impact portfolio management decisions. Daily reports include: (1) Portfolio-level metrics—current Value at Risk at 95% confidence level, daily portfolio loss/gain, maximum drawdown from month-start value, current portfolio beta, and variance from target asset allocation; (2) Position-level alerts—any positions breaching concentration limits, any securities approaching individual stop-loss levels, any holdings with significant overnight price movement (> 3% change); (3) Market context—India VIX level, implied volatility trends, overnight international market performance (US, European market closes), rupee exchange rate changes; and (4) regulatory compliance status—current status against SEBI regulatory limits (concentration limits, derivative exposure, related-party transaction limits). Daily reports are formatted as one-page dashboards with traffic light indicators (green for normal, yellow for caution, red for breach) enabling rapid pattern recognition. Reports are delivered by 9:30 AM IST before market open, allowing portfolio managers to incorporate risk information into intraday trading decisions. Sample daily report excerpt: "Conservative Portfolio A: VaR 0.92% (within 0.75-1.25% target), Drawdown from month-start 2.1% (well within 8% limit), Beta 0.58 (within 0.50-0.65 target), No breaches identified.

14.2 Weekly and Monthly Risk Summaries

Weekly risk reports synthesize daily data into a consolidated view of portfolio risk evolution over the preceding week. Weekly reports include: (1) risk trend analysis—whether VaR, drawdown, concentration metrics are improving or deteriorating; (2) specific incidents—any limit breaches, stop-loss triggers, or circuit breaker events during the week; (3) market stress assessment—evaluation of whether current market conditions warrant defensive positioning changes; and (4) forward-looking risk commentary—assessment of upcoming economic events, earnings announcements, or corporate actions that may impact portfolio risks. Weekly reports are more narrative in style than daily reports, targeting the Chief Investment Officer and Risk Committee members. Monthly risk reports, distributed 5 business days after month-end, provide comprehensive risk analysis for each portfolio: (1) full-period risk metrics—VaR, Sharpe ratio, Sortino ratio, maximum drawdown for the month; (2) performance attribution—analysis of what drove portfolio returns, decomposing returns into components from asset allocation, security selection, and market impact; (3) limit compliance status—current status against all established risk limits, highlighting any periods when limits were breached or approached; (4) significant holdings changes—list of securities added to or removed from portfolios, with risk rationale; and (5) risk event log—any risk breaches, stop-loss triggers, or anomalies identified during the month with root cause analysis. Monthly reports are 8-10 pages in length and are provided to each client monthly, alongside traditional performance reports.

14.3 Quarterly and Annual Board Risk Reports

Quarterly risk reports are presented to the Board Risk Committee and include firm-wide risk assessment, not just individual portfolio views. Quarterly reports comprise: (1) aggregate AUM risk profile—firm-wide VaR, concentration metrics, and stress test results across all portfolios; (2) risk limit compliance summary—percentage of portfolios in compliance with limits, number of breaches, nature of any breaches, corrective actions; (3) risk governance assessment—review of Risk Team staffing and capabilities,

adequacy of risk systems and infrastructure, any resource gaps; (4) regulatory compliance review—assessment of compliance with SEBI regulations on concentration, disclosure, related-party transactions; (5) key risk issues—discussion of emerging risks (geopolitical, macroeconomic, market structure) that may impact portfolios; and (6) stress testing results—presentation of quarterly stress test findings and any portfolio adjustments undertaken in response. Annual risk reports include detailed review of the Risk Management Guidelines document, assessment of whether limits remain appropriate given market conditions and portfolio composition, recommendations for policy updates, and documentation of any significant risk events or incidents during the year. Annual reports are presented to the full Board of Directors and are reviewed in conjunction with the annual policy update process.

15. INCIDENT MANAGEMENT & ESCALATION

15.1 Risk Breach Reporting and Notification

When a material risk event occurs—such as a major portfolio loss, limit breach, counterparty failure, or market disruption—the Firm has established incident management protocols ensuring rapid response, accurate documentation, and appropriate escalation. Material risk events are defined as: (1) any single trading day loss exceeding 1.5% of portfolio value; (2) any monthly loss exceeding the maximum acceptable drawdown for the portfolio profile; (3) any breach of SEBI regulatory limits; (4) any loss due to operational failure, fraud, or unauthorized trading; and (5) any loss or risk exposure arising from counterparty default or settlement failure. Upon identification of a material risk event, the Risk Team immediately: (1) documents the incident nature, timing, affected portfolios, and estimated loss magnitude; (2) notifies the Chief Risk Officer and Chief Investment Officer (within 30 minutes for critical incidents); (3) initiates root cause analysis to understand what triggered the event; and (4) develops an action plan to remediate the incident and prevent recurrence. The Chief Risk Officer determines the appropriate escalation level: (1) Minor Incidents (isolated, < rupees 25 lakh loss)—documented in Risk Incident Register, reported to Risk Committee quarterly; (2) Major Incidents (> rupees 25 lakh loss, operational failure, or policy breach)—reported to Chief Executive Officer and Risk Committee within 1 business day; (3) Critical Incidents (> rupees 1 crore loss, potential regulatory impact, or reputational risk)—reported to Board Risk Committee immediately (same day) and to SEBI within 2 business days.

15.2 Regulatory Reporting and Timelines

Meridian Wealth Partners is obligated under SEBI regulations to report significant risk events and policy breaches to SEBI within specified timeframes. SEBI requires notification of: (1) material breaches of code of conduct or fiduciary duty within 10 days; (2) counterparty defaults or settlement failures within 5 days; (3) significant regulatory violations or penalties within 5 days; and (4) material fraud, embezzlement, or unauthorized trading within 24 hours. The Firm's incident management process ensures that all incidents triggering regulatory reporting obligations are identified and reported within SEBI timelines through a review process: (1) upon identification of an incident, the Chief Compliance Officer assesses whether the incident triggers SEBI reporting obligations; (2) if reporting is required, a regulatory report is drafted by the Legal and Compliance team within 24 hours; (3) the report is reviewed by the Chief Risk Officer and Chief Executive Officer before submission to SEBI; and (4) copies of all regulatory reports are maintained in a centralized Regulatory Reporting register for audit trail purposes. Failure to report material incidents to SEBI could result in significant regulatory penalties, including suspension of investment advisory license, significant fines, and reputational harm to the Firm. Therefore, incident identification and reporting is treated as a critical operational priority, and quarterly audits verify that all reportable incidents have been identified and reported timely.

16. ANNUAL RISK REVIEW & POLICY UPDATES

The Risk Management Guidelines document is subject to annual comprehensive review, typically conducted during the fourth quarter, to incorporate lessons learned during the year, respond to regulatory changes, and adapt to evolving market conditions and portfolio composition. The annual review process involves: (1) Risk Team assessment of whether existing risk limits, methodologies, and frameworks remain appropriate given the portfolio composition and market environment; (2) Compliance Team review of any changes to SEBI regulations affecting risk management requirements; (3) Legal Team review to ensure alignment with regulatory guidance issued by SEBI or court judgments affecting investment advisory standards; (4) Internal Audit review identifying any policy gaps or control failures revealed during audits of the risk management function; and (5) Risk Committee review considering whether the governance structure remains effective and whether risk infrastructure (technology, staffing, expertise) is adequate for the current business scale. Following completion of the assessment, the Chief Risk Officer prepares a Risk Policy Update Memorandum documenting proposed changes, rationale for each change, and expected impact on portfolio risk levels. This memorandum is circulated to senior management and the Risk Committee for review and comment. Following comment incorporation, the Chief Risk Officer presents the proposed policy changes to the Board of Directors for approval. Changes that are material (e.g., significant tightening or loosening of risk limits, changes to governance structure) require full Board approval; minor clarifications or methodology refinements may be approved by the Risk Committee chair with Board notification.

Once approved, policy updates are communicated to all affected personnel through: (1) distribution of updated policy document to all employees; (2) training sessions for portfolio managers and operations staff on material policy changes; (3) updates to automated systems that enforce risk limits and controls; and (4) notification to clients regarding any changes that materially affect their portfolios (e.g., changes to concentration limits or maximum drawdown targets). An implementation date is established (typically 30 days post-approval) to allow adequate time for system updates and staff training. During the implementation period, compliance with both old and new limits may be required to ensure smooth transition. All historical data (risk metrics, performance, incidents) prior to the implementation date is recalculated under both old and new policy frameworks to assess the impact of policy changes. This thorough annual review process ensures that the Risk Management Guidelines remain current, responsive, and effective as the Firm evolves and market conditions change.

17. APPROVAL & SIGNATURES

This Risk Management Guidelines document, version 2.1, has been approved by the Board of Directors of Meridian Wealth Partners at its meeting held on December 20, 2025, and is effective as of January 1, 2026. All employees, agents, and third parties acting on behalf of Meridian Wealth Partners are required to adhere to the risk management frameworks, limits, and procedures outlined in this document. Any questions regarding the interpretation or application of these guidelines should be directed to the Chief Risk Officer.

Chief Executive Officer	Date
-------------------------	------

Chief Risk Officer	Date
--------------------	------

Chief Investment Officer	Date
--------------------------	------

Chief Compliance Officer	Date
--------------------------	------

Board Chair / Approval Authority	Date
----------------------------------	------

Document Information:

This document is classified CONFIDENTIAL and is intended solely for authorized employees and board members of Meridian Wealth Partners. Unauthorized reproduction, distribution, or disclosure is strictly prohibited. This document contains proprietary methodologies, risk frameworks, and strategic guidance that provide competitive advantage to Meridian Wealth Partners. The distribution list specified in Section 1.2 defines authorized recipients. Any questions regarding document access or distribution should be directed to the Chief Risk Officer or Chief Compliance Officer.